Earlier I mentioned that we could use dual momentum in other ways besides our GEM model. The following are two proprietary models I developed that utilize dual momentum.

The simplest extension of dual momentum is to start with the allocation given for conservative investors in Chapter 8 that permanently has 70% in GEM and 30% in U.S. aggregate bonds. This time, instead of holding the permanent fixed-income portion of the portfolio always in U.S. aggregate bonds, we will use dual momentum to select from among the following fixed-income alternatives: Barclays Capital U.S. Long Treasury, Bank of America Merrill Lynch Global Government, Bank of America Merrill Lynch U.S. Cash Pay High Yield, and 90-day U.S. Treasury bills.

I call this dual momentum global stock/bond strategy my Global Balanced Momentum (GBM) model. GBM has 70% allocated to the same equities holdings as GEM, but its fixed-income holdings, including a permanent 30% allocation to fixed income, are selected from the previous list of fixed-income alternatives using dual momentum. This means that the equity portion of the portfolio when stocks are weak, as well as the fixed-income portion, can be in any of the fixed-income alternatives mentioned in the last paragraph, depending on which of them has been the strongest over the look-back period.

GBM has substantial advantages over traditional stock/bond balanced portfolios. Average returns of the typical 60% stock/40% bond portfolio have barely kept pace with inflation across 7 of the 11 decades since 1900. A typical 60/40 balanced stock/bond portfolio had negative real returns over rolling 10-year periods almost one-quarter of the time over the past 114 years. Severe and lengthy drawdowns have also been common, including ones of –66% and –55%.

Table 9.4 and Figure 9.2 show the performance of GBM compared with benchmark allocations of 70% GEM with 30% U.S. Aggregate Bonds, 70% ACWI with 30% U.S. aggregate bonds, and a typical balanced portfolio of 60% S&P 500 and 40% U.S. aggregate bonds. We see that applying dual momentum to the fixed-income side boosts the annual return of the conservative 70% GEM/30% U.S. aggregate bond portfolio by over 150 basis points. Compared to the traditional 60/40 U.S stock/bond balanced portfolio, GBM has twice the Sharpe ratio and only half the maximum drawdown. GBM has both a higher expected return and a lower-risk profile than a typical stock/bond balanced portfolio. GBM has achieved a